

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,	)	
	)	
Complainant,	)	
	)	
v.	)	
	)	
HAMBURG SÜDAMERIKANISCHE	)	DOCKET NO. 21-11
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S	)	
& CO. KG	)	
	)	
and	)	
	)	
HAMBURG SUD NORTH AMERICA, INC.	)	
	)	
Respondents.	)	
	)	

**RESPONDENT HSDG'S OPPOSITION TO
COMPLAINANT'S PETITION FOR RECONSIDERATION**

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Pursuant to 46 C.F.R. § 502.227, Respondent Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG (“HSDG”) ¹ hereby opposes the petition (“Petition”) of Complainant OJ Commerce, LLC (“OJC”) for reconsideration of certain aspects of the Federal Maritime Commission’s August 27, 2024 Order Affirming Initial Decision (“Decision”).

INTRODUCTION

OJC seeks reconsideration of a single finding—that a hypothetical service contract between OJC and HSDG for 2021-22 would have contained higher rates than the 2020-21 service contract between the parties. The Commission should summarily reject the petition. The uncontroverted

¹ The Initial Decision (“ID”) dismissed the claims against Respondent Hamburg Sud North America, Inc. (“HSNA”), finding that “OJC has not established that HSNA is an entity regulated by section 41104(a)(10).” ID at 27. Neither party filed exceptions to this ruling, which was adopted by the Commission. Decision at 3, note 2.

record irrefutably establishes that this finding was correct. The Commission cited some of this record evidence in its Decision; here, HSDG cites additional record evidence supporting that finding. An examination of the overwhelming record evidence as to rates for 2021-22 shows that OJC's Petition is based on fanciful speculation and wishful thinking.

A reconsideration petition is "subject to summary rejection" except for the rare times when the petitioner raises new evidence, addresses new findings or conclusions, or identifies a substantive error of material fact. OJC's petition meets none of those exceptions; it rehashes arguments that OJC previously raised and that the Commission duly considered and properly rejected. The Commission's rules plainly state that reconsideration petitions like OJC's, "which merely elaborate upon or repeat arguments made prior to the decision or order[,] will not be received." 46 C.F.R. § 502.261(a)(3). When a party contends that the Commission made an error of judgment, the party should file a petition for judicial review, not a petition for reconsideration. Thus HSDG, though it maintains that the Decision contains defects, has not filed a reconsideration petition but intends to file a petition for review.² OJC's petition for reconsideration is an abuse of the administrative process. The Commission should summarily reject the petition promptly so that the parties can obtain prompt judicial review.

ARGUMENT

I. THE COMMISSION CORRECTLY FOUND THAT THE RATES IN ANY 2021-22 SERVICE CONTRACT WOULD HAVE BEEN HIGHER THAN THOSE IN THE 2020-21 SERVICE CONTRACT

The Commission correctly found that any 2021-22 service contract would have contained rates higher than the 2020-21 service contract. OJC's Petition merely reasserts an argument the Commission already considered and rejected. The Petition should be denied.

² Nothing in this Opposition shall be construed as an admission that any aspect of the Decision not expressly addressed herein is correct. HSDG reserves all legal rights available to it with respect to all other aspects of the Decision.

In rejecting OJC's contention that any 2021-22 service contract would have had the same rates as the 2020-21 service contract, the Commission cited numerous facts to support its conclusion that OJC's position is unreasonable:

For the proposed 2021-22 Service contract, there is no evidence that HSDG was willing to renew for the 2020-21 shipping rates, the contract did not contain an automatic renewal provision, HSDG's expert report states that marketplace dynamics at the beginning of 2021 would have dictated higher rates for the new contract, and the spot rates supplied by OJC show rates at least doubled over the course of 2020-2021. RX at 1150, 1163, OJC Ex. 104. Based on this record, OJC's decision to calculate profits using the 'HS Est Rate' for both the 2020-2021 Service Contract and the proposed 2021-2022 Service Contract is not reasonable.

Decision at 51. The evidence cited by the Commission establishes that, had the parties concluded a service contract for 2021-22, the rates would have been higher than the rates in the 2020-21 service contract.

The record contains additional evidence supporting the Commission's finding. To wit:

- Juergen Pump of HSDG testified that both long-term and spot rates began increasing in late 2020 and early 2021. Pump Transcript, p. 155, RX988.
- Mr. Pump further testified that he did not recall any customer negotiating a service contract for 2021-22 starting at the same rate levels as their 2020-21 service contract, and that such a starting position would not have been reasonable given the state of the trans-Pacific market. Pump Transcript, p. 228, RX991; pp. 235-236, RX993.

Mr. Pump's testimony is corroborated by the Commission's Final Report in Fact Finding Investigation 29, which found that the spot market rate increased from approximately \$1,500 per 40-ft. container in May of 2020 to a peak of \$11,109 in September of 2021. Final Report, p. 40, RX377.³ The level of spot rates impacts the level of contract rates.⁴ It is absurd to think, as OJC

³ The Commission's report is competent evidence in a court of the United States and hence in this proceeding. 46 U.S.C. §41302(e).

⁴ <https://www.marineinsight.com/maritime-law/differences-and-correlation-between-spot-rates-and-contract-rates-in-shipping/>

does, that a seven-fold increase in spot rates from May of 2020 to September of 2021 would have had no impact whatsoever on service contract rates being negotiated in April/May of 2021.

Contrary to all of the foregoing evidence, OJC reasserts its already twice-rejected argument that because the internal draft 2021-22 service contract that was never sent to OJC⁵ contained the same rates as the 2020-21 service contract, OJC is somehow legally entitled to rely on that draft as a measure of damages. This argument continues to ignore the uncontroverted evidence in the record showing that the draft 2021-22 service contract contained the same rates as the previous contract only because those were the rates in the system and that Ms. Casanova, the sales representative who prepared the draft, did not have the authority to set the new rates.⁶

The Petition doesn't stop with ignoring the overwhelming, uncontroverted evidence. It goes further and makes the incredible and wholly unsupported claim that the 2020-21 service contract was in fact renewed for 2021-22 using the same lanes, rates, and conditions of the contract. Petition at 7. This is pure fantasy. Not only did OJC and HSDG not agree on rates for a potential 2021-22 service contract, there was also no agreement on the MQC for any new contract because OJC refused to commit to any particular MQC for 2021-22. Indeed, OJC would not even commit to same 200 FFE MQC from the 2020-21 Service Contract. RX1138, ¶ 38; CX217. Finally, there was no agreement on trade lanes for 2021-22. Mr. Weiss repeatedly requested that HSDG ship containers from Asia to Kentucky—which he said accounted for 70% of OJC's anticipated volume. CX203. As the ID correctly found, "it is not reasonably certain that the route to Kentucky would have been included in a 2021-22 contract between the parties." ID at 54.

It is black letter law that, in order for a contract to be formed, there must be offer and acceptance and a meeting of the minds on material terms. Restatement (Second) of Contracts §

⁵ ID, p. 14, Finding of Fact No. 54; RX1138, ¶40 and RX1139, ¶45.

⁶ ID, p. 14, Finding of Fact No. 54 (rates in draft offer were rates in system from prior contract). RX 1139 at ¶45; RX 963.

17. The parties' negotiations for a 2021-22 service contract did not come close to meeting these criteria. The parties never discussed what rates would apply in a 2021-22 service contract. RX953. They never agreed on an MQC. RX1138, ¶38. They never agreed on the scope of the contract. ID at 54. And the internal draft prepared by Ms. Casanova was never sent to OJC. ID, p. 14, Finding of Fact No. 54; RX1138, ¶40 and RX1139, ¶45. There was no offer, no acceptance, and no meeting of the minds on multiple material terms. For OJC to even suggest that the contract was renewed is laughable.

The Commission's finding that any 2021-22 service contract would have contained rates higher than those in the 2020-21 service contract was correct.

II. THE COMMISSION CORRECTLY AFFIRMED THE ID'S HOLDING THAT INFORMATION ALLEGEDLY NOT SUPPLIED BY HSDG IN DISCOVERY IS NOT MATERIAL

In the second portion of its Petition, OJC argues that the record is ambiguous with respect to the rates it would have paid under a 2021-22 service contract and that the ambiguity should be construed against HSDG for alleged failures to comply with discovery requests and orders of the ALJ.⁷ This argument is specious.

As an initial matter, as demonstrated above, the record is clear that rates in a 2021-22 service contract would have been higher than those in a 2020-21 service contract. The record is unambiguous.

More importantly, OJC appears to be operating under the mistaken impression that HSDG was required to provide information about specific service contract rates. That is not the case. Although OJC originally sought such rate information, the ALJ's June 29, 2022 Order on Respondent's Motion to Compel and Revised Schedule narrowed OJC's request:

⁷ HSDG addressed the legal merits of this argument in its reply to OJC's exceptions to the ID. It is not necessary to repeat those arguments here.

OJC RFP 26 requests documents showing pricing, including how prices are determined and why prices may vary between shippers. Respondents states that ‘prices vary among customers based on a number of factors, including the volume committed in a particular trade lane and in other trade lanes.’ Opposition at 9. This request will be narrowed to any policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charges for shipment under service contracts and on the spot market. **Respondents will not be required to review or provide documents regarding pricing for individual shippers.**

CX300 (emphasis added). In light of this, even assuming *arguendo* that HSDG did not fully comply with all discovery requests (which HSDG denies), HSDG would not have been required to produce other 2021-22 service contracts, and OJC would not have received the type of information it now appears to argue it should have gotten. The Commission’s finding that any discovery issues do not have a material impact on the damages award is correct.

OJC was free to introduce evidence of the rates offered by other ocean carriers in OJC’s purportedly unsuccessful efforts to negotiate contracts with those other carriers for 2021-22. It chose not to do so and produced no evidence of such negotiations in response to HSDG’s discovery requests for same.

CONCLUSION

OJC’s Petition should be summarily rejected as soon as possible so that the parties can undertake judicial review.

Respectfully submitted,

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Dated: October 11, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 11th day of October, 2024, the foregoing was served via electronic mail on:

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A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written in a cursive style.

Wayne R. Rohde